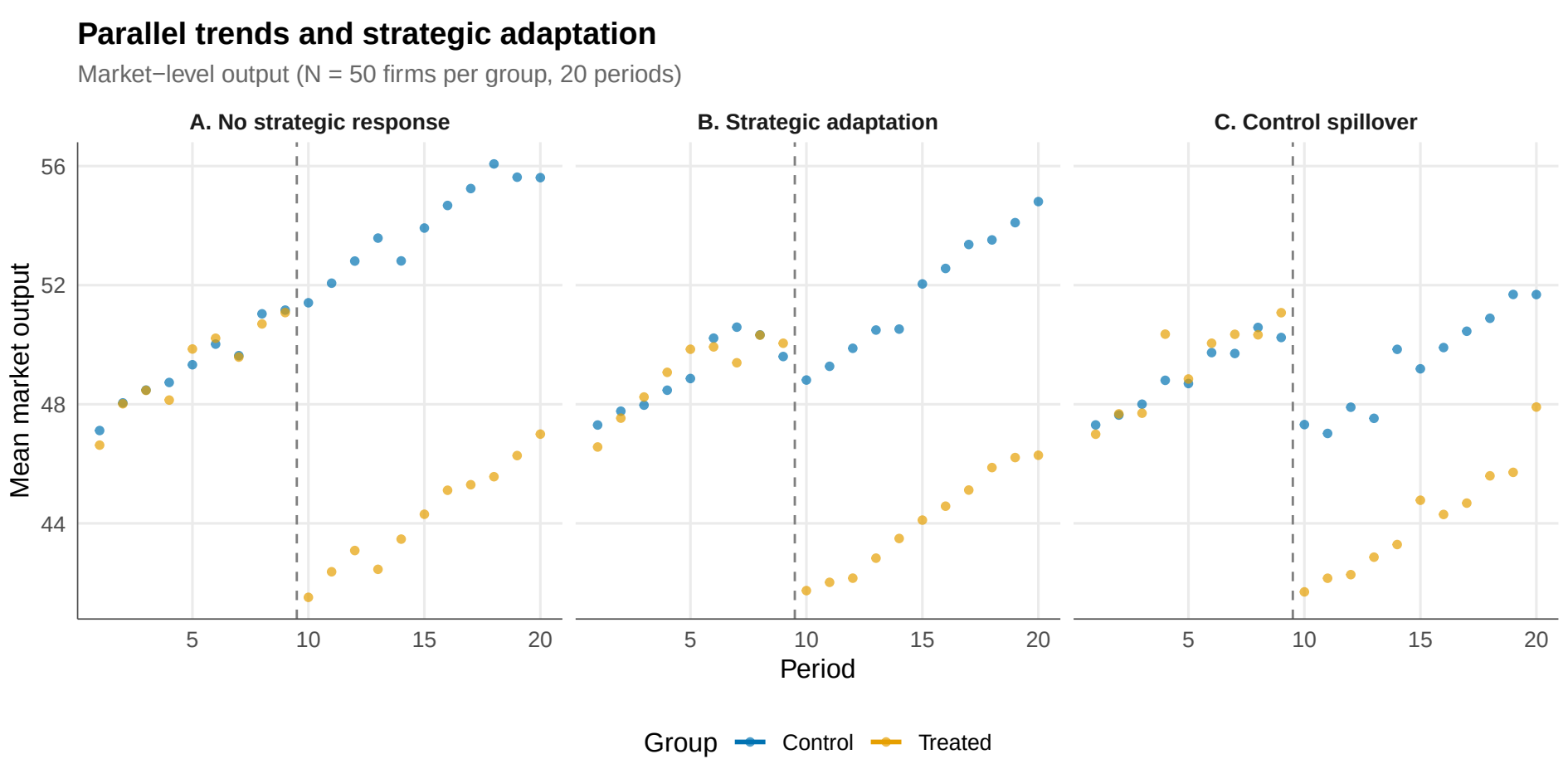
Parallel trends and strategic adaptation
Market−level output (N = 50 firms per group, 20 periods)
A. No strategic response
B. Strategic adaptation
C. Control spillover
Mean market output
56
52
48
44
5
10
15
20
Period
Group
Control
Treated